

How Loan Assumptions Work

Some buyers, rather than take out a new loan (or in addition to doing so) will take over the payments of the seller's existing loan. This isn't always possible-many lenders include a due-on-sale clause that requires the seller to repay the entire loan in full when selling the property. However, FHA and VA loans are generally assumable. Where assumption is possible, the following applies:

- The borrower will need to qualify for the assumption, and a down payment on the assumable amount may be required.
- If interest rates on the assumable loan are higher than prevailing market rates, it doesn't make sense to assume the loan.
- In addition to the assumed loan, the buyer will need to pay the seller for any equity in the property. This will need to be paid as a down payment or another loan.
- Assumption fees of a few hundred dollars to more than a thousand dollars will apply.
- While the buyer may assume the debt, the lender may specify different terms, making any advantages to the assumption moot. Buyers should make sure they understand all terms.

Process

- Buyer asks seller if seller will consider an assumption, and what the loan balance is.
- Buyer requests an application from the seller's lender. Without that lender's approval, the buyer can't assume the loan. The buyer should ask for an assumption package.
- Buyer gathers financial information (W-2s, tax forms, pay stubs, an accounting of assets, etc.)
- Buyer completes loan application.
- Buyer signs assumption agreement (between seller and buyer). This may also happen before applying with the lender. Buyer should also sign a release from liability for the seller. Without this in place, the seller is still liable for the mortgage in the event the buyer fails to make payments.
- Loan closes.

Writing an Offer to Assume a Loan

Never complete a sales contract when you don't understand the terms. Always check with your broker. Some form of the following language should be included in any sales contract that includes an assumption:

- \$[Purchase price]
- Buyer assumes and agrees to pay, as part of the purchase price, the balance owing upon the promissory note secured by a first mortgage or deed of trust on the subject property in favor of [name of lender] bearing interest at []% per annum and payable as to principal and interest \$ _____ per month, having an approximate principal balance of \$ _____. If the lender's consent is required to assume this loan, this offer is contingent on obtaining the lender's consent without changing the terms of the loan and any assumption fee not to exceed \$ _____. [Language for conditions and deadlines of buyer termination should also be included here.]
- Seller shall furnish to buyer a statement from all mortgagees no later than [date].
- This offer is ___ is not ___ conditioned on the seller being released from liability on the existing loan.
- Any net difference between the balance owed on the existing loan as shown above and the actual balance on the existing loan at settlement shall be adjusted in ____cash ____other (specify) _____.
- Buyer agrees to buy at closing any reserve account balance held by the lender.